



FUTURE OF BANKING

Driving New Revenue Stream
Through Fintech Partnerships

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Executive Summary

Banks are evolving beyond their traditional roles, transforming into dynamic, multi-functional platforms that cater to a broader range of customer needs. This shift toward ecosystem banking or Banking-as-a-Platform (BaaP) allows financial institutions to integrate a wide array of third-party services, from fintech innovations to non-financial offerings like insurance, investment advisory, e-commerce, and wellness solutions. By leveraging strategic partnerships, banks are creating holistic platforms that enable customers to manage both their financial and personal lives seamlessly, driving greater customer engagement, loyalty, and retention.

The growing competition from tech giants such as Google, Amazon, and other digital platforms now offering financial services has heightened the need for banks to differentiate and expand their value propositions. This report explores the strategic imperative for banks to adopt a platform model, highlighting the potential for banks to generate new revenue streams and deepen customer relationships by becoming central hubs in their customers' lives.

Additionally the report provides insights into how banks can build agile, versatile platforms capable of integrating third-party services efficiently. Key case studies showcase industry leaders who have successfully implemented ecosystem banking strategies, establishing multiple touchpoints with their customers, increasing lifetime value, and fostering sustainable growth through enhanced customer loyalty and diversified offerings.

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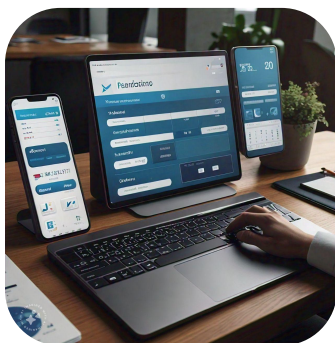
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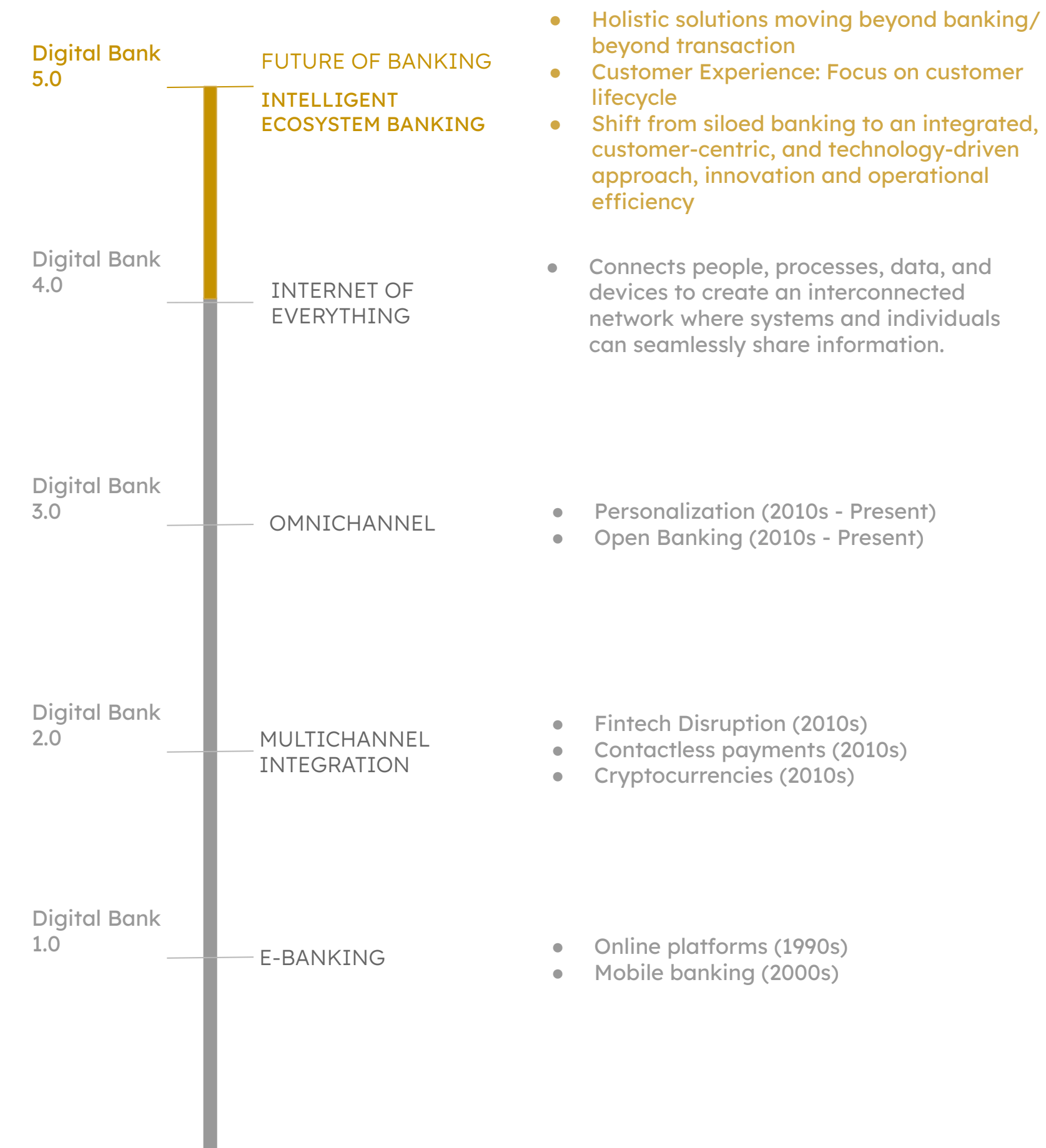


Evolution of Banking





Evolution of Digital Banking



Future of Banking



A strong ecosystem enables banks to offer enhanced customer experiences by partnering with fintechs and technology providers

Platformization fosters innovation and collaboration within the banking ecosystem by allowing third-party developers to build new products and services on top of existing banking platforms and create a single view of the customer

Platformization can significantly enhance personalized and efficient customer service by enabling banks to leverage data analytics and AI to tailor their offerings



Customer Experience In Banking

72%

of customers want immediate service

62%

of customers believe that experiences should flow seamlessly between physical and digital spaces

70%

of customers expect anyone they interact with will have full context of their needs and past interactions

62%

of customers agree that personalized recommendations are more valuable than general ones

Need for Cx in Banking

New Competition

Big Tech Entry
Companies like Apple, Google, and Amazon are entering the financial services space, raising the bar for customer experience with their seamless, tech-driven approaches.

Fintech Disruption
Fintechs are setting new benchmarks in Cx with their simplicity and efficiency and are offering innovative, user-friendly financial solutions.

Customer Expectations

Personalization & Convenience
Customers increasingly demand personalized experiences and expect banking services to be as accessible and intuitive as their favorite apps.

Loyalty
A state-of-the-art customer experience significantly reduces customer churn by fostering reliable and positive interactions that build trust.

Revenue Growth

Cross Selling & Upselling
Strong customer experience empowers banks to gain deeper insights into customer needs, enabling them to offer more relevant products and services, ultimately increasing wallet share of customers.

Customer Lifetime Value
Engaged customers are more likely to purchase additional products and provide valuable referrals.



Modern Banking Enhancements

(Recent to Earlier)		Drivers	Tech / Partnership
2020s	Financial Education and Advisory	• Need for greater financial literacy • Rise of digital platforms providing educational content and Financial advisory services	• E-learning platforms • AI for personalized learning paths • Interactive digital tools
Early 2020s	Lifestyle and Wellness Services	• Increasing importance of holistic well-being • Fintechs offering lifestyle-oriented financial products	• AI for personalized recommendations • IoT devices for health and wellness integration
	Sustainability and Green Banking	• Consumer awareness of environmental issues • Increasing ESG mandates and investor pressure	• Data analytics for ESG reporting • AI for assessing environmental impact • Blockchain for transparency
	Buy Now, Pay Later (BNPL)	• Shift towards e-commerce and demand for flexible payments • Need for interest-free installment payment plans, to attract among younger demographics.	• Real-time payment processing • API integrations with e-commerce platforms • AI for credit risk assessment
Late 2010s	Digital Lending	• Tech advances in enabling instant credit decisions • Competition from online lenders offering rapid loan approval and alternative scoring	• AI & ML - based alternative data sources for credit scoring • Cloud computing • API integrations

Modern Banking Enhancements

Late 2010s	Drivers	Tech / Partnership
Cryptocurrency Services	Emergence of blockchain technology and growing interest in digital currencies	- Blockchain technology - Secure digital wallets - Cryptocurrency trading platforms
Open Banking and API Integrations	- Regulatory changes (e.g., PSD2 in Europe) - Competition leading to collaboration and sharing customer data - Demand for seamless financial services across platforms	- API infrastructure - Secure data sharing protocols - Data analytics - Blockchain for security
Mid-2010s		
Personal Finance Management Tools	- Customer's need for better control and insight into personal finances - Fintech apps offering advanced budgeting and tracking tools	- Data analytics - API integrations - AI-driven insights - Mobile and web platforms
Robo-Advisory	- Democratization of financial advice using AI and ML, leading to investment management and financial planning - Fintech startups offering low-cost automated investment services	- AI/ ML - Data Analytics - Cloud Computing
Early 2000s		
Digital Wallets and Payment Solutions	- Rise of smartphones - Need for cashless payment methods and demand for secure, fast, and contactless transactions - Fintechs offering digital payment solutions	- Mobile technology - NFC - Encryption and security technologies



Erica: Bank of America's Journey into AI-Powered Banking

Erica is Bank of America's AI-powered virtual financial assistant that uses a conversational interface to help customers manage their finances through intuitive interactions

ERICA's Key Features

- Account Monitoring:
 - Tracking spending patterns
 - Alerts for unusual transactions
 - Real-time balance updates
- Personalized Financial Advice
 - Tailored insights, such as money-saving suggestions and investment recommendations
- Task Automation
 - Bill payments
 - Other routine bank task

ERICA's Impact

Increase in revenue using ERICA: 19%

Number of clients helped
since Launch
42 Million

Number of Times Clients
Engage Per Day
2 Million

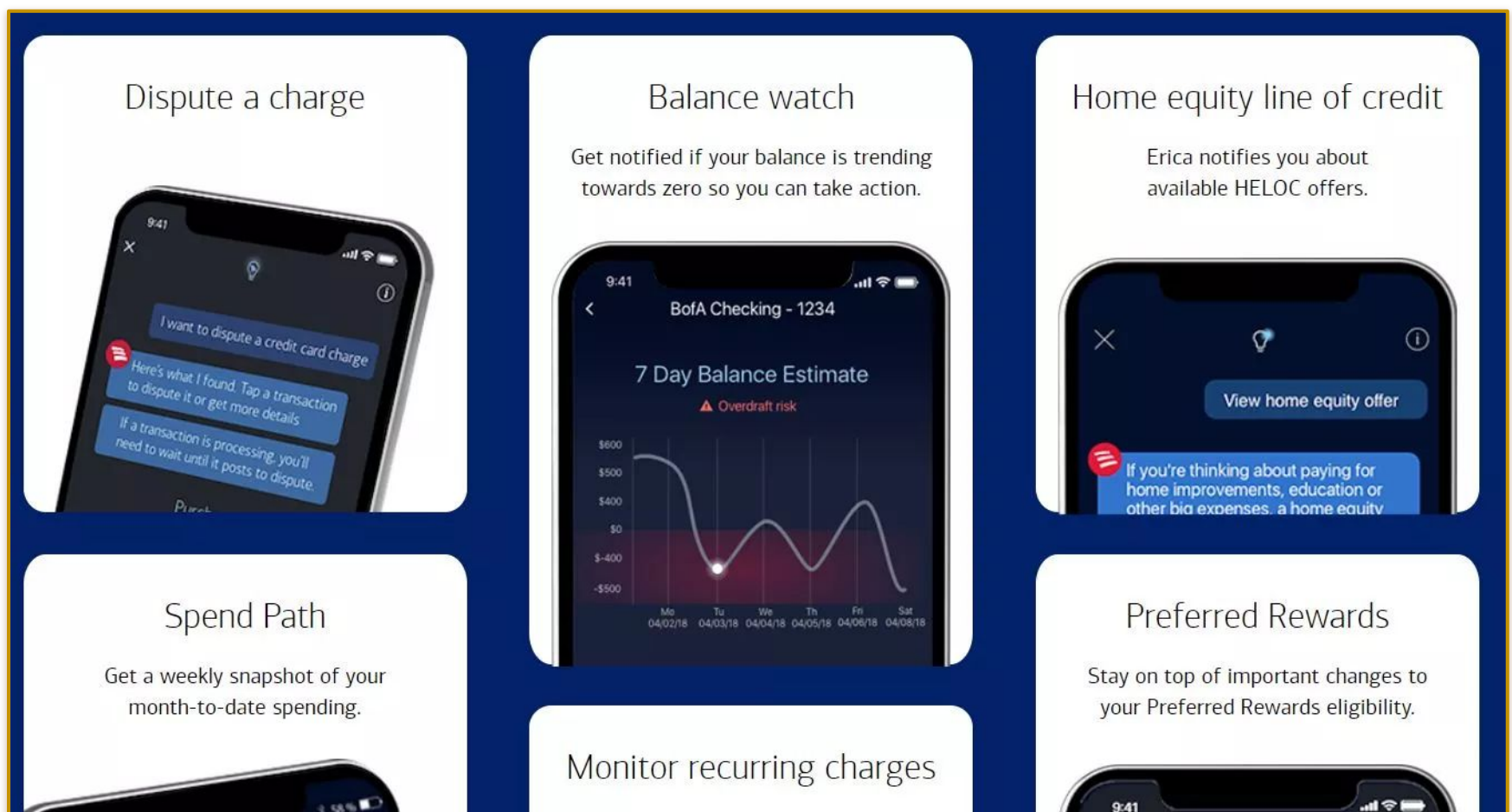
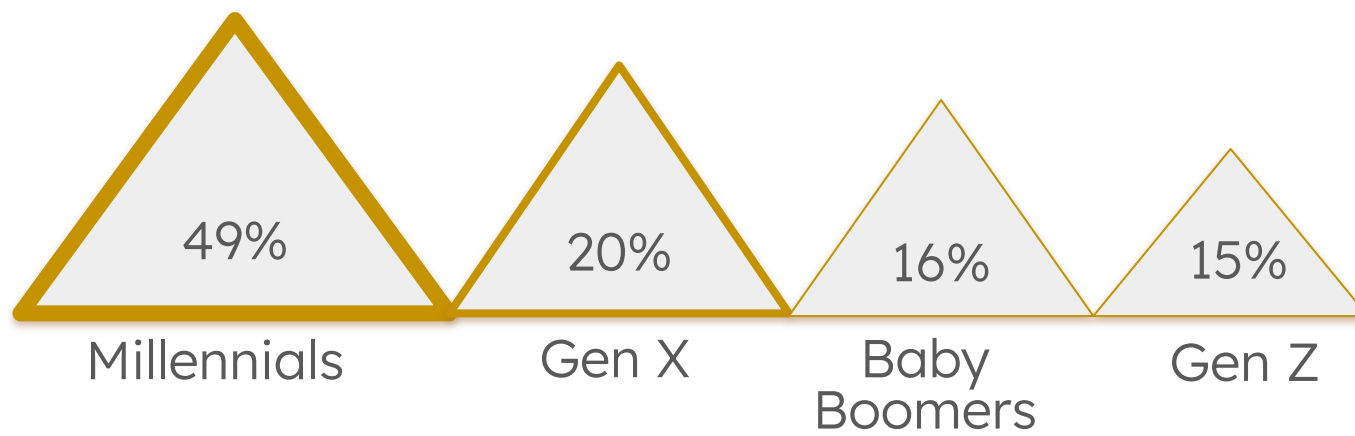
Number of Interactions
since Launch
>2 Billion

Number of Enquiries
Responded since Launch
800 Million

Number of Insights
Provided
1.2 Billion

How is ERICA Banking for Future?

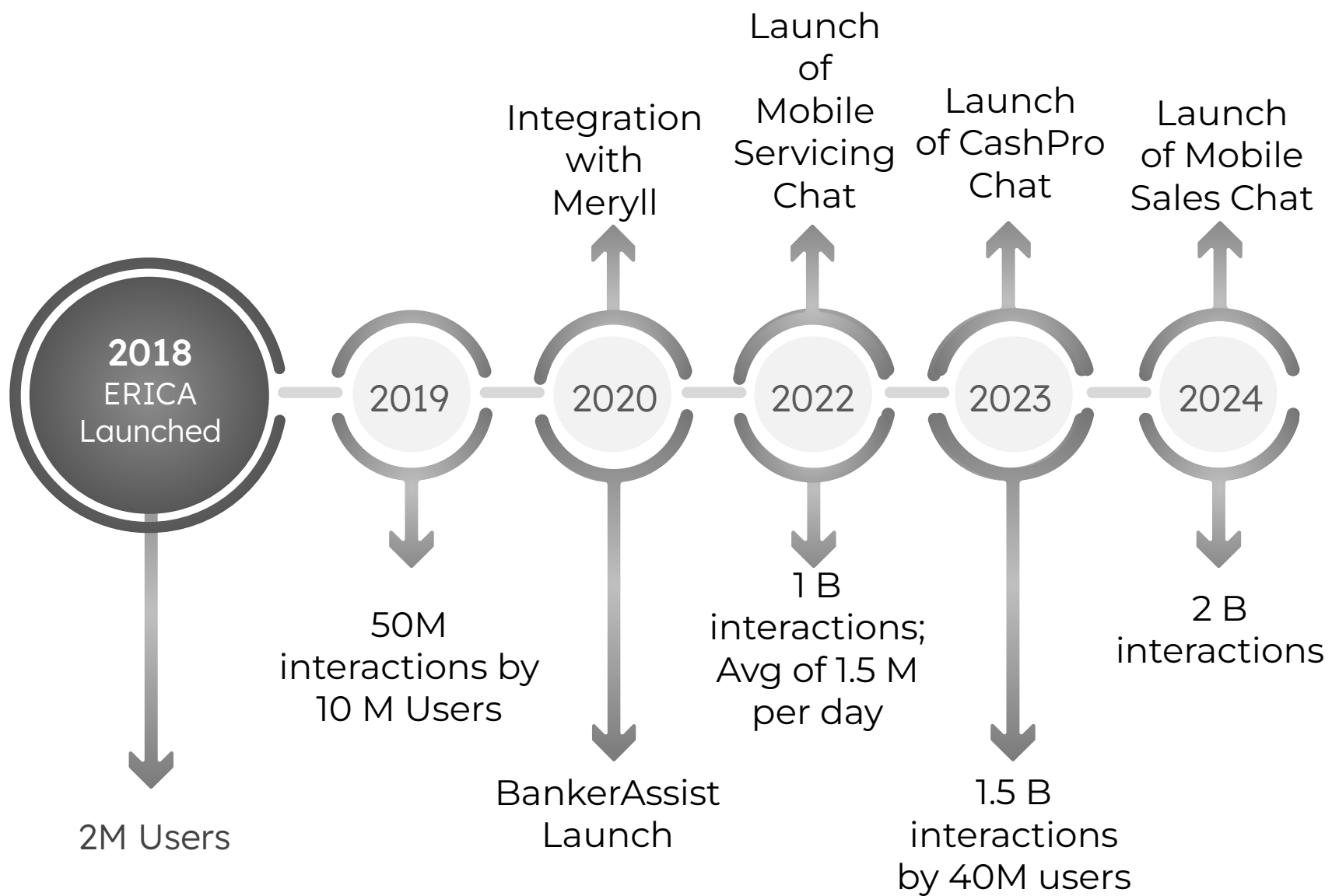
ERICA's user Profile:



A grid of six cards showcasing Erica app features, each with a smartphone mockup and a brief description.

- Dispute a charge**
I want to dispute a credit card charge. Here's what I found. Tap a transaction to dispute it or get more details. If a transaction is processing, you'll need to wait until it posts to dispute.
- Balance watch**
Get notified if your balance is trending towards zero so you can take action.
BofA Checking - 1234
7 Day Balance Estimate
Overdraft risk
\$600, \$500, \$400, \$300, \$200, \$100, \$0, -\$100, -\$200, -\$300, -\$400, -\$500
Mo 04/02/18, Tu 04/03/18, We 04/04/18, Th 04/05/18, Fri 04/06/18, Sat 04/07/18
- Home equity line of credit**
Erica notifies you about available HELOC offers.
View home equity offer
If you're thinking about paying for home improvements, education or other big expenses, a home equity
- Spend Path**
Get a weekly snapshot of your month-to-date spending.
- Monitor recurring charges**
- Preferred Rewards**
Stay on top of important changes to your Preferred Rewards eligibility.

ERICA's Journey



BankerAssist : AI-powered employee tool to aggregate information from internal and external databases

CashPro : Digital banking platform that helps clients manage and monitor their financial transactions



Platformization

A Platform is a group of base Solutions upon which other experiences, processes or systems are developed

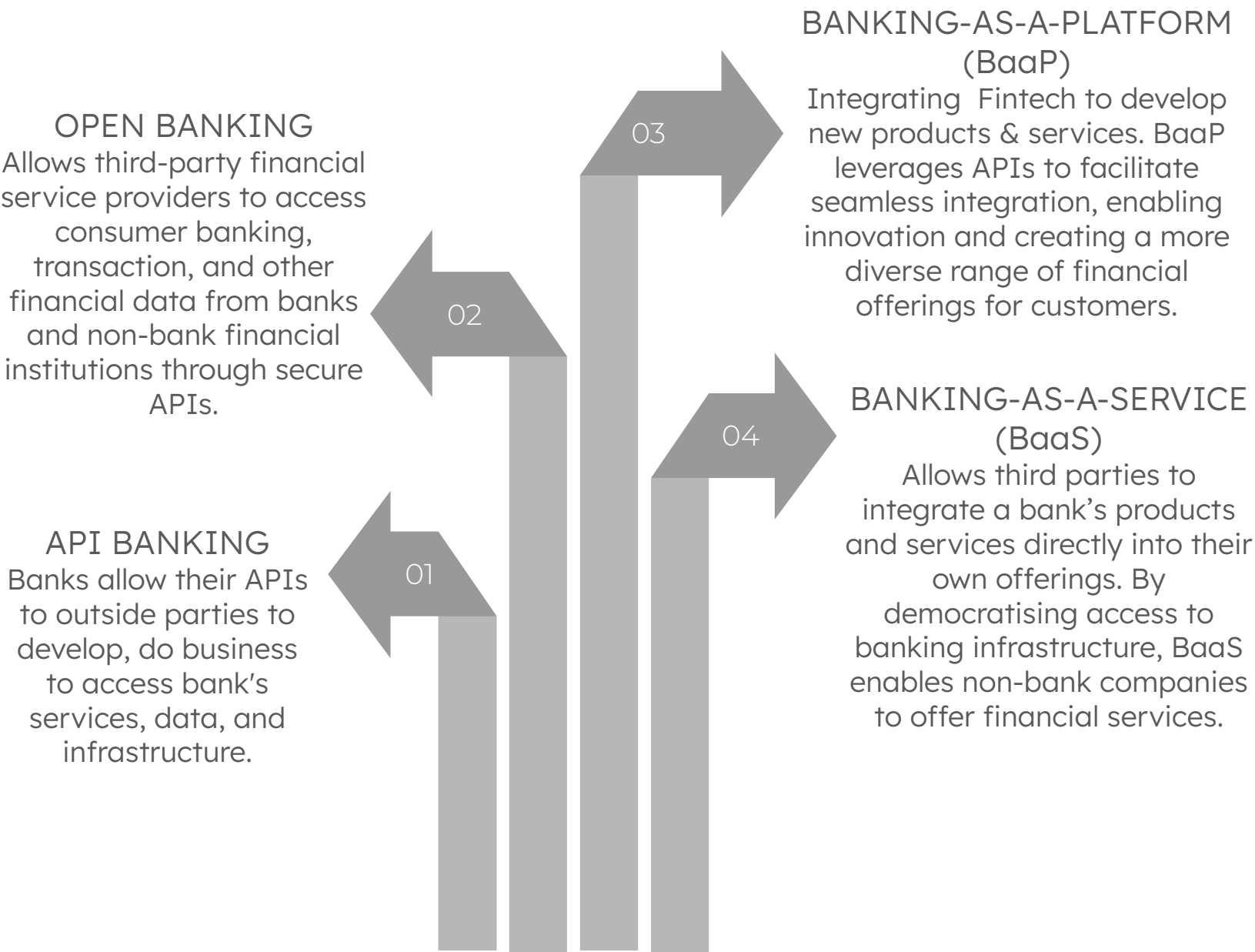




Ecosystem of Tech & Value Added Services

The Bank of the future will function as a network of platforms offering diverse services beyond traditional banking

ENABLED BY
PLATFORMIZATION



Need for Platformization

New
Revenue
Models

Fintech
Co-Branding
Enhances
Consumer
Trust

BaaS is
Faster to
Scale

Customers
Demand
Integrated
Experiences

Diversification

Banks need to diversify revenue streams by offering value-added services, subscription models, and transaction-based fees. By integrating various services, banks can monetize these services and generate additional revenue.

Leveraging Brand

By collaborating with Fintechs and other companies, banks can strengthen their reputation and enhance consumer confidence.

Expansion

BaaS allows banks to scale their operations rapidly without the need for significant investment in new infrastructure.

Seamless Journeys

Platformization allows banks to create holistic experiences by integrating ecosystems, making it convenient for customers to access a wide range of services without needing to switch between multiple apps or platforms.

Cross-Selling

Strong customer experience enables increased wallet share. Platforms enable banks to cross-sell products by analyzing customer data and offering personalized solutions.

Enhanced Consumer Perception

Positioning themselves as innovative and customer-centric, banks reassure customers that their bank is at the forefront of technological advancements.

Efficiency and Speed

BaaS platforms can rapidly deploy new services and products, reducing time-to-market.

Omnichannel

Platform-based models enable banks to offer a unified experience across these channels, meeting the evolving needs of their customers.



Chase x Amazon: Redefining Digital Payments Through BaaS Integration



Amazon has partnered with Chase Bank to offer co-branded credit cards and a range of financial products to its customers

Amazon & Chase Collaborative Products

	Digital Wallet & Payment Solutions
	Prepaid Card & Line of Credit
	Prepaid Card & Merchant Services
	Insurance
	Business Lending
	Prepaid Card
	Business Credit Card
	Credit Card
	Cash to Digital Account
	Credit Card
	Cashless Payments

Amazon's Need to build Financial Services

- ✓ Expansion of merchant participation and activity
- ✓ Expansion of customer base
- ✓ Increased cart & checkout size
- ✓ Reduce friction on both the buy and sell side



Impact of Amazon's Financial Services

- 310 million active customers
- 200 million prime customers
- 600 million products
- 9 million sellers worldwide

Amazon enhances its customer loyalty by offering additional value through financial rewards and benefits

Chase Bank gains access to a new customer base through its partnership with Amazon, allowing it to leverage Amazon's data for targeted marketing and product development

Customers benefit from a more integrated and seamless experience, gaining easier access to financial products and enhanced rewards tailored to their shopping habits



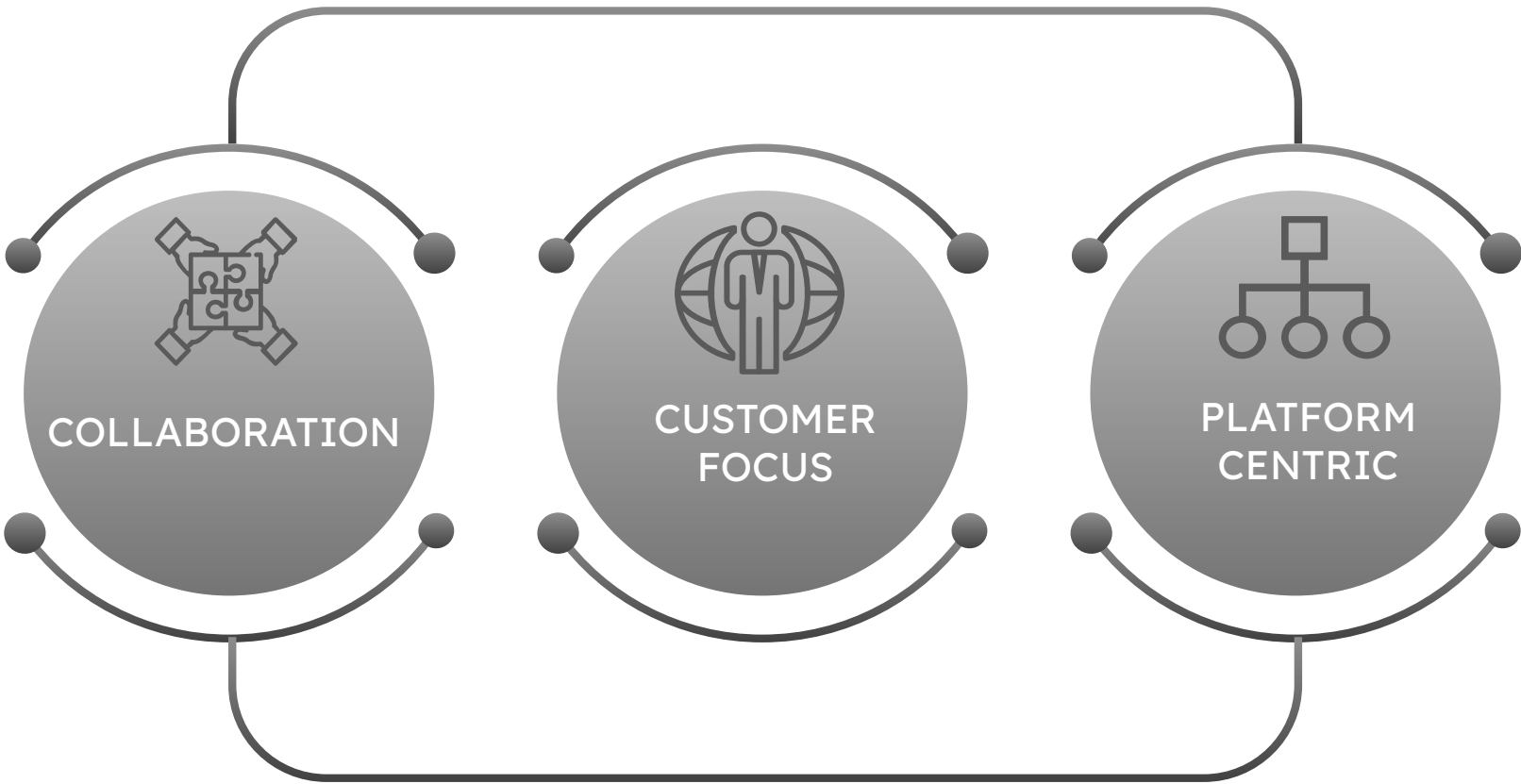
Banks collaborate with various partners to create a connected platform that offers a diverse array of services beyond traditional banking





Key Elements of Ecosystem Banking

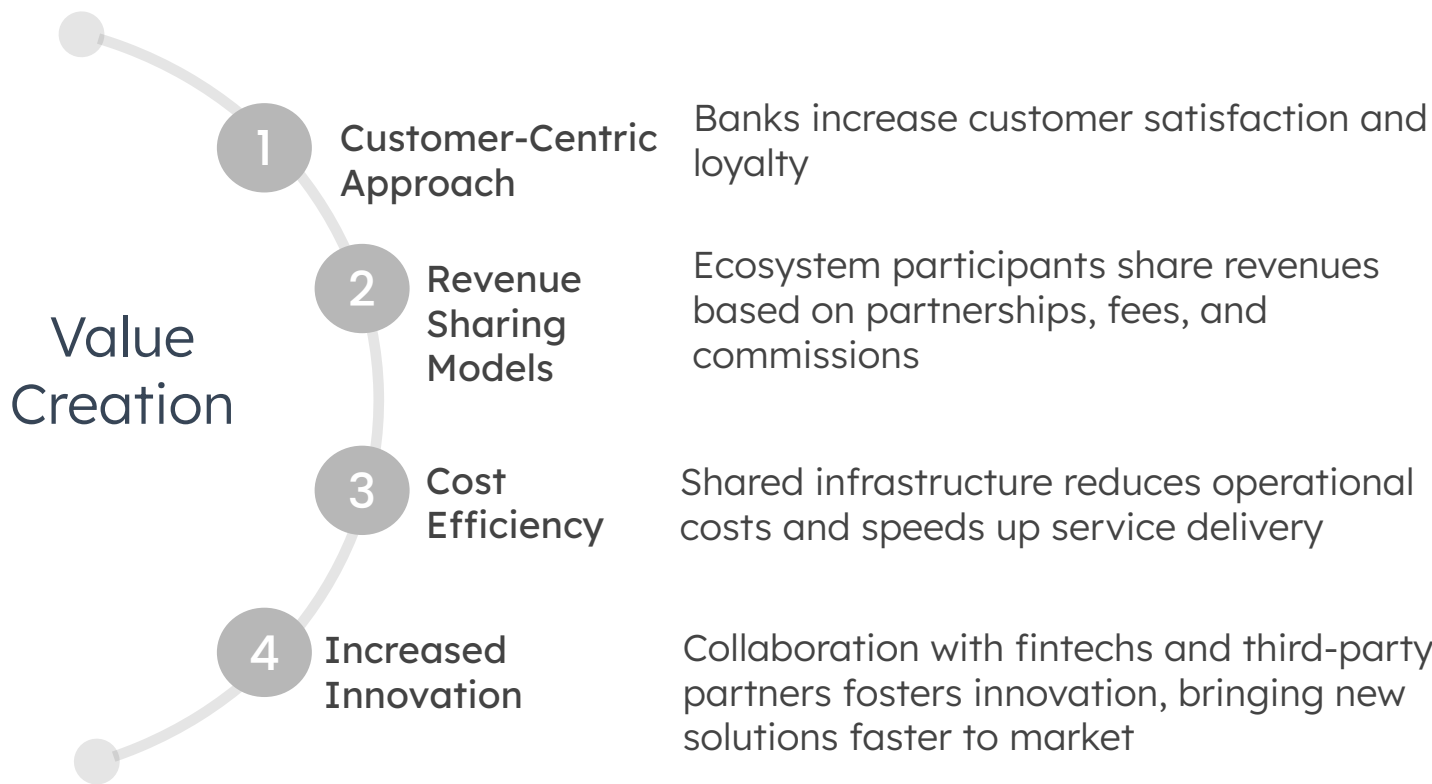
Ecosystem banking allows banks to move beyond traditional services by offering a comprehensive, flexible, and personalized customer experience while creating new revenue opportunities through diverse partnerships and integrated solutions.



Collaboration with fintechs, retailers, tech companies, and other online D2C

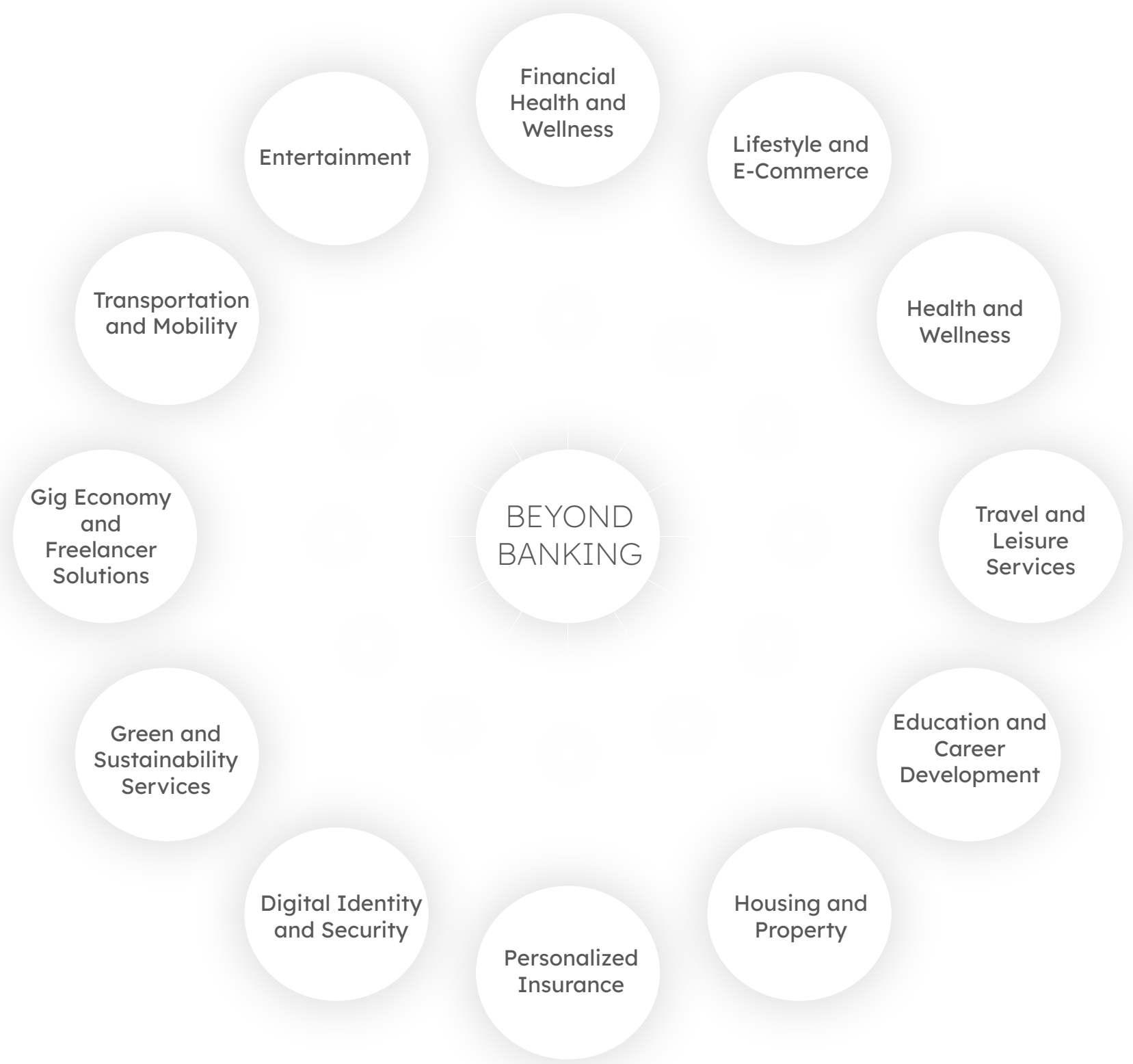
Integration of services into a single platform

Convenience and personalization for customers





Potential ‘Beyond Banking’ Services for Banks



Financial Health and Wellness

Lifestyle and E-Commerce

Health and Wellness

Travel and Leisure Services

 Capital- Money management

 Shopify - Online store setup

 Fitbit - Health data

 TravelPerk - business travel platform

 Acorns- Micro-investing

 Stocard - Loyalty wallet

 Hims & Hers - Telehealth

 LoungeKey - Airport lounge access

 Oportun - Borrowing, saving, budgeting

 Afterpay - BNPL

 Eucalyptus - D2C digital health

 Booking.com - Travel Booking

Education and Career Development

Housing and Property

Personalized Insurance

Digital Identity and Security

 Coursera - Online learning

 Opendoor - Home buying / selling

 Lemonade - Digital insurance

 Auth0 - Identity and authentication

 Degreed - Learning & upskilling

 Nestaway - Rental Management

 Trov - On-demand insurance

 Onfido - Identity verification

 Springboard - Online learning

 Propy - Real Estate secure transaction

 Cover Genius - Embedded insurance

 jumio - Identity verification

Green and Sustainability Services

Gig Economy and Freelancer Solutions

Transportation and Mobility

Entertainment

 Doconomy - Carbon footprint tracking

 Lili - Banking for freelancers

 Uber - Ride-hailing

 Audible - Streaming & Audio-books

 Clim8 - Sustainable investments

 Qonto - Finance management for freelancers

 Lime - Micro-mobility

 Patreon - Content creation & subscription management

 Ecologi - Carbon offsetting

 Fiverr - Freelance marketplace

 TURO - Car-sharing

 StubHub - Event ticketing



SBI YONO: Pioneering the Ecosystem Banking



YONO is an integrated digital banking platform offered by State Bank of India to enable users to access a variety of financial and non-financial services

State Bank of India (SBI)

Founded: 1806

Number of Customers: 448.9M

Number of Branches: 22K+

Total Assets: US\$750B

Revenue (FY 2023): US\$59B

YONO (You Only Need One)

Launched: 2017

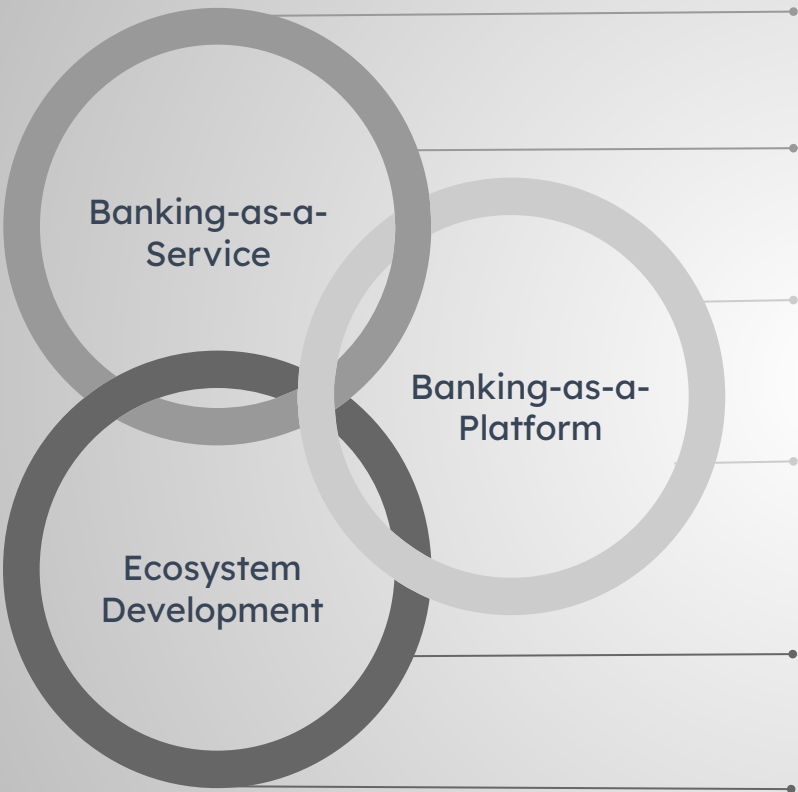
Number of Users: 80 M (Aug 2024)

Valuation: \$40B+

App Downloads: 64 M

Daily Logins: 9 M

YONO Strategies



API: SBI’s BaaS offered through APIs enabled third party developers to integrate their services with SBI platform

Partnerships: Fintech & digital platform partners have enabled SBI to expand its offerings and enhancing customer accessibility

Platform: The YONO platform offers a unified interface for a variety of services including banking, shopping, insurance, and investment

White-Labeling and Collaboration: SBI co-branded with businesses to enhance the platform’s reach and diversify its service offerings

Digital Experience: Integration with services such as e-commerce, insurance into the YONO platform provides a seamless and comprehensive digital journey

Partner Ecosystem: An ecosystem of partners enable customers to avail discounts, offers, and integrated services directly through YONO

YONO Ecosystem

Insurance

- Policybazaar
- Digit Insurance
- HDFC Ergo
- Max Life Insurance

Investments

- Groww
- Scripbox
- Paytm Money
- ETMoney

Travel & Ticketing

- MakeMyTrip
- Cleartrip
- IRCTC
- OYO
- Uber

Online Credit

- ZestMoney
- EarlySalary
- MoneyTap
- PaySense

E-commerce

- Flipkart
- Amazon
- Myntra
- Tata Cliq
- Snapdeal

Payments

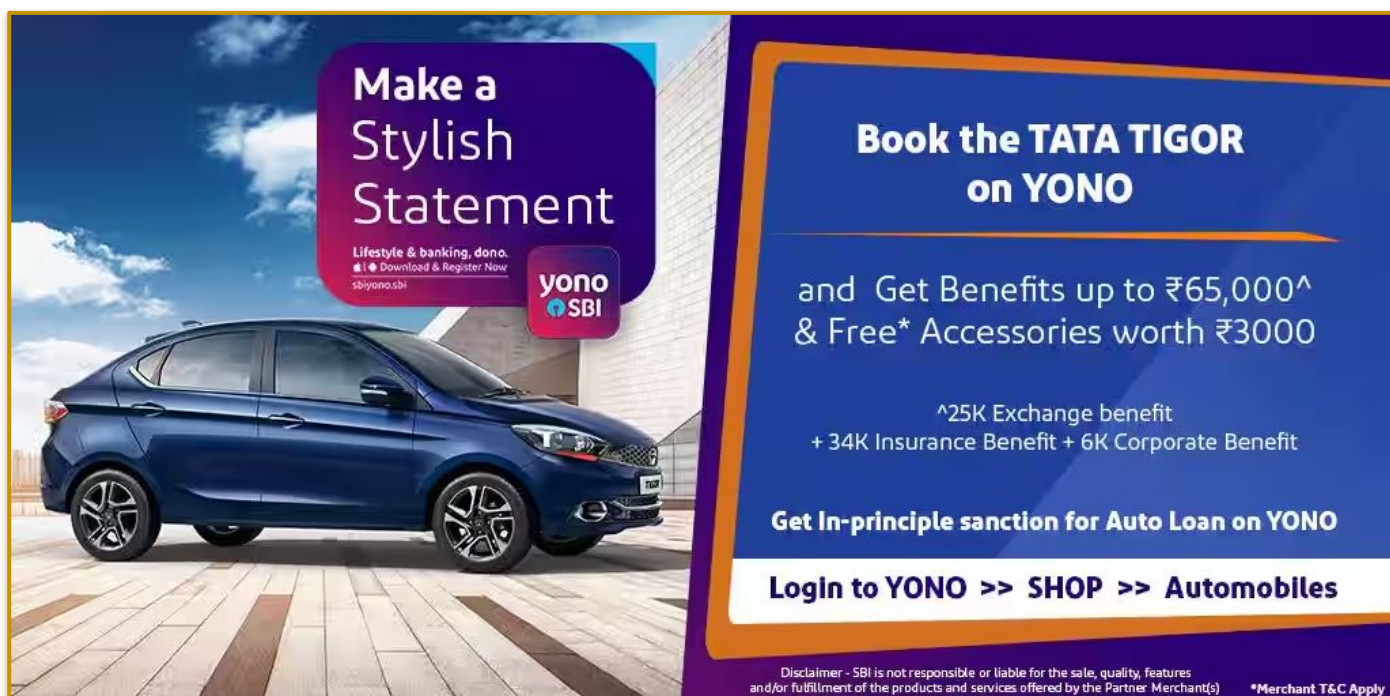
- Paytm
- Google Pay
- PhonePe
- FreeCharge

Financial Management

- Walnut
- Moneycontrol
- ET Markets
- Good Return
- Ezetap

Entertainment & Lifestyle

- BookMyShow
- Cure.fit
- Zomato
- Swiggy



Make a Stylish Statement

Lifestyle & banking, done.
 Download & Register Now
 sbiyono.sbi

Book the TATA TIGOR on YONO

and Get Benefits up to ₹65,000[^] & Free* Accessories worth ₹3000

[^]25K Exchange benefit
 + 34K Insurance Benefit + 6K Corporate Benefit

Get In-principle sanction for Auto Loan on YONO

Login to YONO >> SHOP >> Automobiles

Disclaimer - SBI is not responsible or liable for the sale, quality, features and/or fulfillment of the products and services offered by the Partner Merchant(s)

*Merchant T&C Apply

Key Takeaways

Build Vs Buy

The rapid pace of change makes it unrealistic for banks to develop and manage all products and services on their own. Instead, banks should collaborate with the most suitable third-party providers to deliver best-in-class solutions allowing them to leverage external expertise and innovation while focusing on their core competencies

Personalization

Personalization is no longer a luxury but a necessity for banks to stay competitive, foster customer loyalty, increase engagement, and drive profitability. By leveraging technology and service ecosystem, banks can deliver tailored experiences that resonate with individual customers and differentiate themselves in a crowded market

Platformization

Platformization is essential for banks to remain competitive in the digital age. By implementing robust, secure APIs and open banking frameworks, banks can foster a collaborative ecosystem that promotes innovation and partnerships, all while ensuring regulatory compliance and enhancing customer experiences



We can enable your journey in this rapidly changing disruptive economy. OpenI Platform highlights:

- Next disruptor you must know about
- How your competitors are engaging with these disruptors/ innovators
- Startup ecosystem to drive your growth

Navigate with Confidence

BUSINESS GROWTH

Identify high potential startup investment opportunities

STRATEGY & INNOVATION

Source new business models, spot future competitors

BUSINESS OPERATIONS

Optimize business operations

MARKETING

Drive sales and customer engagement (D2C)

PARTNER MANAGEMENT

Procure and manage next-gen disruptors

ASK OUR ANALYSTS

White Space Analysis
(Spidermap)

Ecosystem as a
Strategy

Managed
Sourcing

Corporate
Venture

Competitive
Analysis

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